

Mark and Steve,

I have previously forwarded to you the Gramm changes that I received from Ken Raisler. I recognise that we want to be extremely cautious about suggesting that we support any of the changes. Nonetheless, it may be worthwhile going through the changes to see if they are beneficial to Enron.

For example, the changes being made to solve the "Blackbird Issue" (see p. 29 and 30 of Gramm's changes) seem to be beneficial for Enron Online. Also, Gramm's Swap exclusion language of section 107 seems broader than the existing language.

If Gramm were to ask Ken Lay if we were supportive of these changes how would we respond? I have a hunch our response is that a perfect bill would be ideal, but it is not likely that such a goal is attainable in this Congress or the next Congress. Nonetheless, I would appreciate help listing the changes that are helpful to enron and those we just don't care about.

Tom